

2.1 Growing the business

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank

Each entry shows the original paper pages (the entire question — case study extract, data tables, figures, and the question itself) followed by the mark scheme answer for that specific sub-question.

- **Total questions:** 29
- **Total marks:** 131
- **Sub-topics covered:** 4
- **Original PDF pages embedded:** 117

By series:

- **Specimen SAMs:** 3 questions
- **June 2019:** 5 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 3 questions
- **June 2022:** 5 questions
- **June 2023:** 3 questions
- **June 2024:** 4 questions

2.1.1 Business growth (11 questions)

Specimen SAMS · Paper 2 · Q7(a) · §C

Define

1 marks

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 58, 65, 66 (SPECIMEN SAMS PAPER 2)

SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** impact on Fender of using 3D printers to print out ideas for new guitar models.

(2)

- (b) Analyse the impact on Fender of charging high prices for its musical instruments.

(6)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

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- (e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

Award 1 mark for a correct definition of takeover. Where one business acquires (greater than 50% of the shares in) another business (1).

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 60, 61, 62, 65, 66 (SPECIMEN SAMs PAPER 2)

- 5 Figure 3 shows a bar gate stock graph which details the delivery of ash wood to Fender's factory for 60 days in 2016. During this time it received three deliveries of ash wood from its supplier. These are marked on Figure 3 as A, B and C.

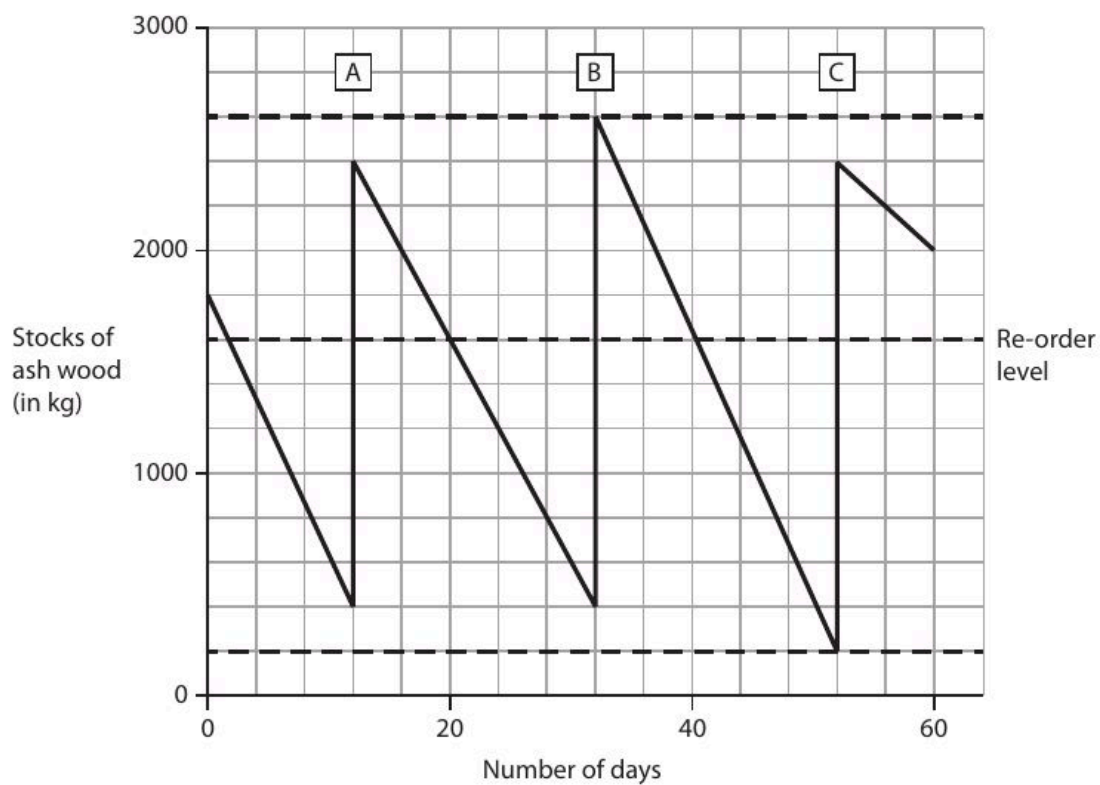


Figure 3

- (a) Identify the amount of ash wood Fender held as a buffer stock.

(1)

- (b) Identify the day when delivery B of ash wood arrived at Fender's factory.

(1)

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- (2)

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(d) Analyse the impact on Fender of using job production to produce these musical instruments.

(6)

(Total for Question 5 = 10 marks)

- 6 (a) State **one** factor that Fender will consider when choosing its suppliers.

(1)

- (b) Outline **one** possible benefit to Fender from using social media.

(2)

Fender is considering two options to increase its profitability:

Option 1: Increase advertising

Option 2: Increase prices

- (c) Justify which **one** of these options Fender should choose.

(9)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

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- (e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

Indicative content: Larger businesses can exploit economies of scale (AO1b). Different businesses target different market segments (AO1b). The enlarged business would be able to exploit economies of scale because Argos stores can be closed down and placed inside Sainsbury's supermarkets (AO2). Some low-income Argos customers may not normally do their grocery shopping in Sainsbury's, so the number of customers who use the enlarged business could go down (AO2). The enlarged business can reduce its fixed costs. This allows unit costs to decrease so that it can compete more effectively with Aldi and Lidl by being able to charge lower prices (AO3a). Demand for Argos' products will decrease, leading to falling revenues since it may not retain all of its customers (AO3a). Argos is struggling to compete with Amazon, which is an e-tailer. Therefore, even after taking advantage of economies of scale Amazon will still have lower unit costs and lower prices since it does not have any high-street shops. So Sainsbury's is unlikely to benefit significantly from its takeover of Argos (AO3b). The takeover creates the UK's largest non-food retailer. Therefore, the economies of scale generated could be significant, allowing the enlarged business to effectively compete with large e-tailer rivals such as Amazon (AO3b). Level 1 (1-4), Level 2 (5-8), Level 3 (9-12) descriptors apply.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (JUNE 2019 PAPER 2)

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6 (a) State **one** drawback to *Mind Candy* of organic growth.

(1)

(b) Outline **one** method *Mind Candy* could use to promote its new app.

(2)



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



17

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Award 1 mark for stating one drawback to Mind Candy of organic growth. Lack of cash, considering the company was making losses in 2013 (1). It is a slow method of growth in the games market (1). Accept any other appropriate response. Do not accept drawbacks of organic growth that would not be related to Mind Candy. For example, Mind Candy might struggle to come up with new products.

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 2)

2 (a) Which **two** of the following are external sources of finance?

(2)

Select **two** answers.

- ☐ A Loan capital
- ☐ B Retained profit
- ☐ C Sales revenue
- ☐ D Selling assets
- ☐ E Share capital

(b) Which **two** of the following are methods of external growth for a business?

(2)

Select **two** answers.

- ☐ A Improve promotion
- ☐ B Innovation
- ☐ C Merger
- ☐ D Research and development
- ☐ E Takeover

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Table 1 contains financial information about the performance of a business.

Sales revenue	£625 000
Cost of sales	£145 000
Other operating expenses and interest	£200 000

Table 1

- (c) Using the information in Table 1, calculate the gross profit made by the business.
You are advised to show your workings.

(2)

£

- (d) Explain **one** benefit to a business of withdrawing a product when it enters the decline phase of its product life cycle.

(3)

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(e) Explain **one** benefit to a business from improving the aesthetic element of a product's design mix.

(3)

(Total for Question 2 = 12 marks)

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The only correct answers are A - Loan capital and E - Share capital. B is not correct because it is an internal source of finance. C is not correct because it is not a source of finance. D is not correct because it is an internal source of finance.

Look at this sub-question (Q2(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 2)

2 (a) Which **two** of the following are external sources of finance?

(2)

Select **two** answers.

- ☐ A Loan capital
- ☐ B Retained profit
- ☐ C Sales revenue
- ☐ D Selling assets
- ☐ E Share capital

(b) Which **two** of the following are methods of external growth for a business?

(2)

Select **two** answers.

- ☐ A Improve promotion
- ☐ B Innovation
- ☐ C Merger
- ☐ D Research and development
- ☐ E Takeover

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You are advised to show your workings.

(2)

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- (d) Explain **one** benefit to a business of withdrawing a product when it enters the decline phase of its product life cycle.

(3)



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(e) Explain **one** benefit to a business from improving the aesthetic element of a product's design mix.

(3)

(Total for Question 2 = 12 marks)

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The only correct answers are C - Merger and E - Takeover. A is not correct because it is a method of internal growth. B is not correct because it is a method of internal growth. D is not correct because it is a method of internal growth.

Look at this sub-question (Q3(e), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 2)

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- 3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ **A** Product knowledge
- ☐ **B** Product quality
- ☐ **C** Production
- ☐ **D** Productivity

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products.

Sales revenue for products X, Y and Z in 2018

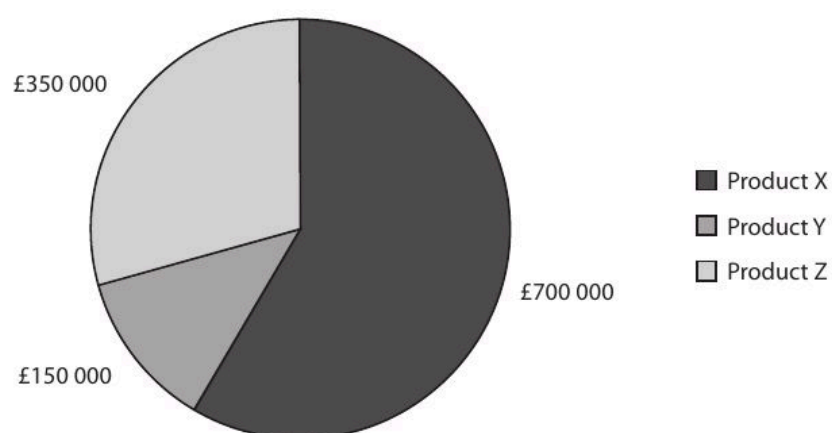


Figure 1

- (b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

(2)

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Turn over ►

(c) Explain **one** drawback to a business from differentiating its product.

(3)

(d) Explain **one** impact on a business from increased globalisation.

(3)

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(e) Discuss the impact on a business of becoming a public limited company (plc).

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



P 6 1 6 4 7 A 0 9 2 4

9

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Indicative content: The business can now issue new shares to a large number of potential shareholders to raise capital for expansion (AO1b). The issuing of new shares will dilute the existing owners' percentage ownership of the company (AO1b). Therefore, with the ability to sell their shares easily, shareholders may purchase large numbers of shares raising large amounts of capital to fund growth (AO3a). Therefore, the original owners may lose control of the business that they helped to create, and the company may become part of a much larger one (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q6(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 16, 17, 18 (JUNE 2022 PAPER 2)

6 (a) State **one** good that *Greggs* produces in its factories.

(1)

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(b) Outline **one** benefit to *Greggs* of being a public limited company (plc).

(2)

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In order to continue the growth in its sales, *Greggs* is considering two options:

Option 1: differentiate its product range

Option 2: lower its prices.

(c) Justify which **one** of these two options *Greggs* should choose.

(9)

Handwriting practice lines for the answer.



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

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Award up to 2 marks for linked points outlining a benefit to Greggs. Award a maximum of 1 mark if points are not linked. Greggs could issue shares (1). Therefore, making it easier to raise capital to fund a 130 shop expansion (1). Greggs will now have a greater public profile (1). As a result, it could attract the best managers from rivals such as Costa (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 19, 20, 21, 22, 23, 24, 25 (JUNE 2022 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*.

Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from <https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/> and <https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores>)



(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

7 (a) Define the term **multinational**.

(1)

Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020.

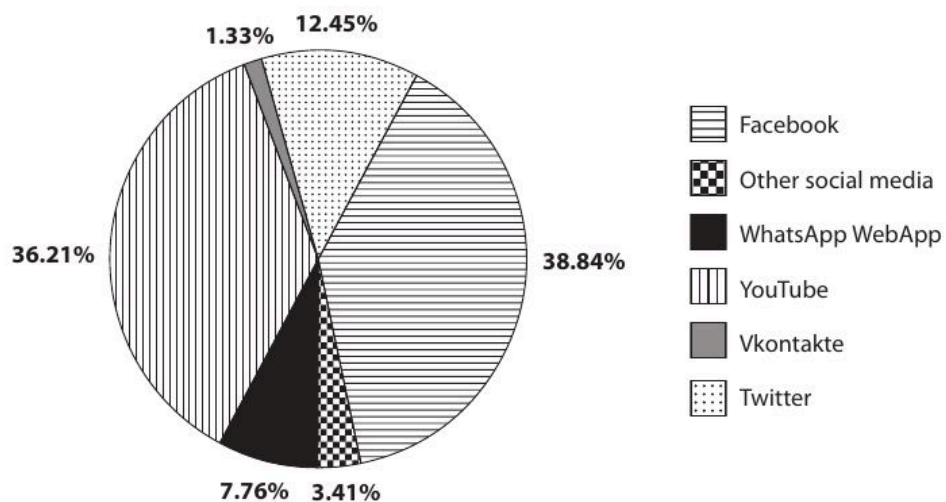


Figure 5

(Source: adapted from <https://www.similarweb.com/website/jdsports.co.uk#social>)

(b) Using the information in Figure 5, identify the social media site that generated the smallest percentage of customers for www.jdsports.co.uk.

(1)





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(c) Outline **one** benefit to *JD Sports* of having a website.

(2)

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21

Turn over ►



In order to improve its competitive advantage *JD Sports* is considering two options:

Option 1: targeted online advertising

Option 2: sponsorship.

(d) Justify which **one** of these two options *JD Sports* should choose.

(9)

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(e) Evaluate whether the takeover of Footasylum will allow *JD Sports* to increase its profit. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS

25



P 6 5 5 6 3 A 0 2 5 2 8

Indicative content: It would give JD Sports a larger market share (AO1b). It would eliminate a main competitor (AO1b). This is because Footasylum target a similar market segment to that of JD Sports by focusing on 16-24 year olds and the 'athleisure' market (AO2). This would reduce the level of competition in the 16-24 year olds trainer market since it is likely that JD Sports would close down Footasylum shops in duplicate locations (AO2). This would allow JD Sports to place larger orders for trainers from suppliers such as Nike and Adidas. This may then generate a bulk-buying discount. This could enable JD Sports to make a higher profit margin on each pair of trainers sold or lower prices to effectively compete with Sports Direct (AO3a). As a result, consumers would now face less choice as to where they can buy trainers from and are more likely to purchase from JD Sports. As a result, due to the lack of competition, the price of a pair of trainers could rise, allowing JD Sports to benefit through a higher profit margin (AO3a). However, the Competition and Markets Authority (CMA) have launched an investigation, so it is possible that the takeover could be blocked, considering JD Sports already own Footpatrol and Kukri. This could result in lower profits. The change in profit depends on what, if anything, the CMA decide to do (AO3b). However, Footasylum was loss making and there is still significant competition in the market from Sports Direct. Therefore, it is possible that the takeover of Footasylum only has a minimal impact on JD Sports' profit. The £90.1m spent acquiring the rival could have been better used to improve the shopping experience in store which may have had a greater effect on profit.

Levels: Level 0 No rewardable material. Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 27 (JUNE 2023 PAPER 2)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 4 and read Extract B, then answer Question 7.

- 7 (a) Give **one** stage of the sales process.

(1)

Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019.

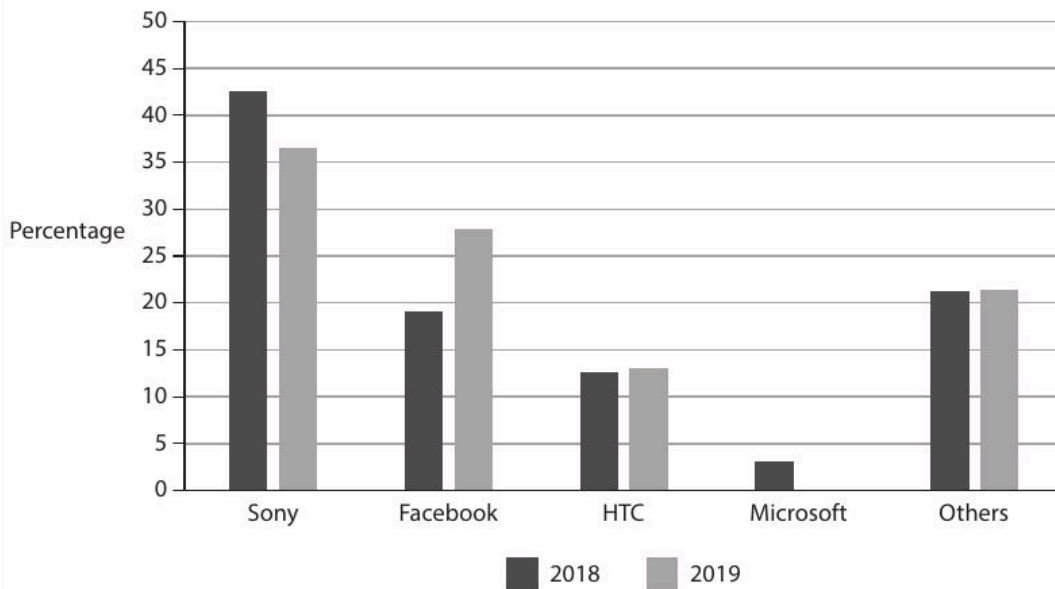


Figure 5

(Source: adapted from <https://www.statista.com/statistics/755645/global-vr-device-market-share-by-vendor/>)

- (b) Using Figure 5, identify the company that left the virtual reality headset market in 2019.

(1)



(2)

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19

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In order to increase its profit, *Facebook* is considering two options:

Option 1: grow internally

Option 2: grow externally.

(d) Justify which **one** of these two options *Facebook* should choose to increase its profit.

(9)

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Handwriting practice lines consisting of six horizontal dotted lines.



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(e) Evaluate the impact on *Facebook* of its decision to allow its employees to use remote working from home. You should use the information provided as well as your knowledge of business.

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 4 and read Extract B, then answer Question 7.

Extract B



Figure 4: An Oculus virtual reality headset

In 2004, entrepreneur Mark Zuckerberg started *Facebook*. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, *Facebook* plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of \$70.1 billion.

The company has used internal and external growth to expand. Between 2012 and 2020, *Facebook* purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, *Facebook* wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. *Facebook* believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets.

In 2020 *Facebook* decided to give employees in its European headquarters in Dublin the option to work from home. *Facebook* believes that remote working will not result in lower productivity. It also believes it will allow *Facebook* to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. *Facebook* believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

(Source: adapted from <https://www.irishtimes.com/business/technology/facebook-to-reopen-irish-offices-in-early-july-1.4259429> and <https://www.theguardian.com/technology/2020/may/21/facebook-coronavirus-remote-working-policy-extended-years/>)

P71060A

3

Award up to 2 marks for linked points outlining an advantage to Facebook of becoming a public limited company (plc). Award a maximum of 1 mark if points are not linked. Facebook will be able to issue more shares at flotation (1). Therefore, raising capital to fund development of its social media apps (1). Facebook may now have a higher public profile (1). As a result, it may be able to attract the best website developers to work for the company (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Look at this sub-question (Q7(d), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 27 (JUNE 2023 PAPER 2)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 4 and read Extract B, then answer Question 7.

- 7 (a) Give **one** stage of the sales process.

(1)

Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019.

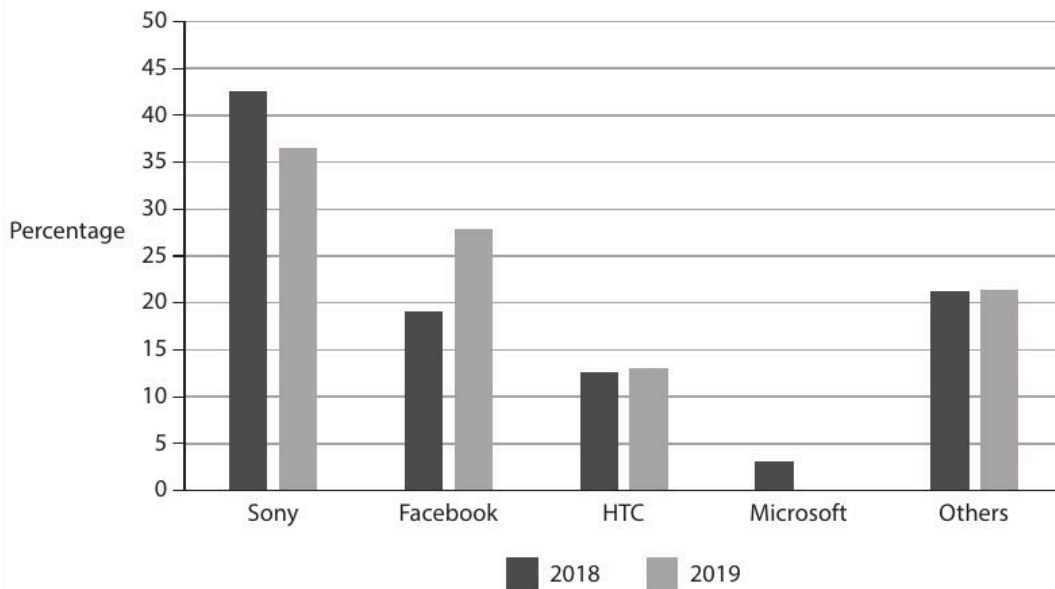


Figure 5

(Source: adapted from <https://www.statista.com/statistics/755645/global-vr-device-market-share-by-vendor/>)

- (b) Using Figure 5, identify the company that left the virtual reality headset market in 2019.

(1)



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19

Turn over ►

In order to increase its profit, *Facebook* is considering two options:

Option 1: grow internally

Option 2: grow externally.

(d) Justify which **one** of these two options *Facebook* should choose to increase its profit.

(9)

Handwriting practice lines for the answer.

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Handwriting practice lines consisting of six horizontal dotted lines within a rectangular box.



21

Turn over ►

(e) Evaluate the impact on *Facebook* of its decision to allow its employees to use remote working from home. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 4 and read Extract B, then answer Question 7.

Extract B



Figure 4: An Oculus virtual reality headset

In 2004, entrepreneur Mark Zuckerberg started *Facebook*. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, *Facebook* plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of \$70.1 billion.

The company has used internal and external growth to expand. Between 2012 and 2020, *Facebook* purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, *Facebook* wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. *Facebook* believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets.

In 2020 *Facebook* decided to give employees in its European headquarters in Dublin the option to work from home. *Facebook* believes that remote working will not result in lower productivity. It also believes it will allow *Facebook* to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. *Facebook* believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

(Source: adapted from <https://www.irishtimes.com/business/technology/facebook-to-reopen-irish-offices-in-early-july-1.4259429> and <https://www.theguardian.com/technology/2020/may/21/facebook-coronavirus-remote-working-policy-extended-years/>)

P71060A

3

Indicative content: This could allow Facebook, using its existing resources, to move into other markets away from social media where, perhaps, growth opportunities are better (AO2). Facebook has already grown inorganically and has purchased over 60 different companies within an 8-year period (AO2). With social media becoming a service that is moving into the maturity phase of its product life cycle in most markets, the profits from advertising are unlikely to grow as fast as they did in the past. Thus, new markets, such as virtual reality, offer new potential for growth that could boost demand and offer new revenue streams and hence increased profits (AO3a). Therefore, by eliminating more competitors, Facebook is in a position of power to ask advertisers to pay higher prices for advertising space. This could result in each online advertisement having a higher profit margin than before (AO3a). However, internal growth is slow. Facebook has limited experience in new markets. Virtual reality may not grow as much as expected and Facebook's lack of experience may lead to costly errors that may reduce, rather than increase profits (AO3b). However, Facebook may not be able to grow further in its existing market. The market is already mature and competition laws may prevent further merger and takeover activity. This may constrain, rather than increase, profits (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 9, 10, 26 (JUNE 2024 PAPER 2)

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** method of internal growth that *Popeyes* could use.

(2)



9

Turn over ►

(b) Analyse the importance to *Popeyes* of differentiating its products.

(6)

Handwriting practice lines for the answer.

(Total for Question 4 = 8 marks)

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.



(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)



Award up to 2 marks for linked points outlining a method of internal growth that Popeyes could use.

Introducing new menu items (1). This will encourage more people to choose Popeyes over Burger King (1).

Opening up more branches (1). This gives people in other towns and cities the ability to try their fried chicken (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

2.1.2 Changes in business aims and objectives (2 questions)

June 2019 · Paper 2 · Q5(c) · \$B

Analyse

6 marks

Look at this sub-question (Q5(c), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (JUNE 2019 PAPER 2)

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- 5 Table 2 contains information about *Mind Candy's* performance in 2013.

Sales revenue	£30 560 692
Gross profit	£22 190 385
Other operating expenses and interest	£25 044 332

(Source: adapted from <https://beta.companieshouse.gov.uk/company/05119483/filing-history>)

Table 2

- (a) Using the information in Table 2, calculate *Mind Candy's* cost of sales. You are advised to show your workings.

(2)

£

- (b) Using the information in Table 2, calculate, to 2 decimal places, *Mind Candy's* gross profit margin. You are advised to show your workings.

(2)

..... %



P 5 9 9 2 6 A 0 1 3 2 4

13

Turn over ►

As a result of the problems it faced in 2013, *Mind Candy* changed its main business objective from growth to survival.

- (c) Analyse the impact on *Mind Candy* of changing its main business objective to survival.

(6)

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(Total for Question 5 = 10 marks)



Indicative content: Mind Candy may have to abandon or reduce the development of new games and apps (AO2). Mind Candy may have to reduce its workforce of web designers and software developers (AO2). This may cut costs and cash outflows, reducing the likelihood of negative net cash flows. Therefore, improving the likelihood that Mind Candy may receive the £1.2 million investment that it needs to survive (AO3a). This may make Mind Candy less attractive to the most highly-skilled software developers since there may be fewer opportunities to work on high-profile new games (AO3a). Level 1 (1-2 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q7(d), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 16, 17, 18, 19, 20, 21, 27 (JUNE 2024 PAPER 2)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.

- 7 (a) Give **one** non-financial method to motivate employees in a business.

(1)

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019.

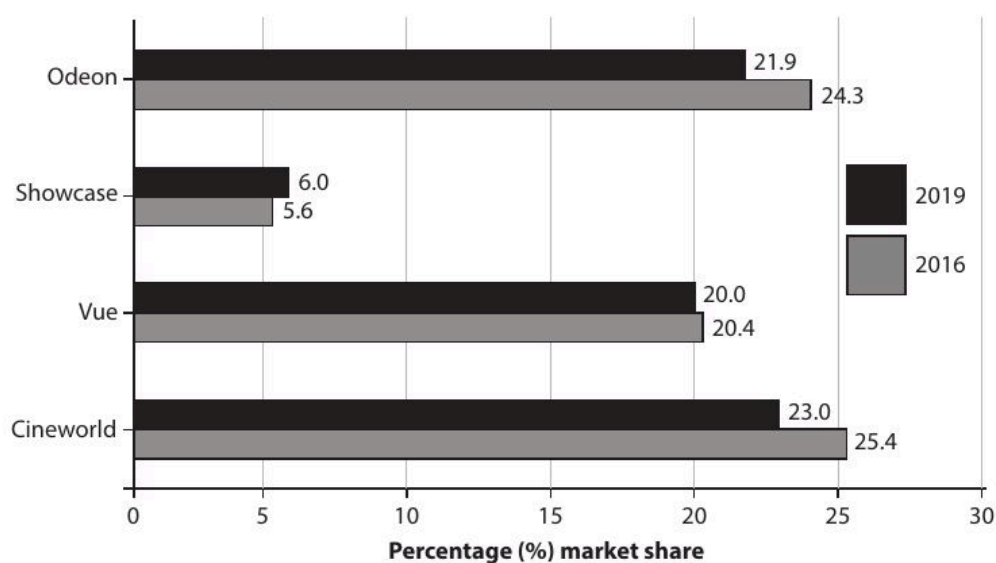


Figure 4

(Source: <https://www.bfi.org.uk/industry-data-insights/statistical-yearbook-2017-and-2020>)

- (b) Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

(1)





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(c) Outline **one** likely responsibility for a manager of a *Cineworld* cinema.

(2)

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17

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Handwriting practice lines consisting of six horizontal dotted lines.



19

Turn over ►

- (e) Evaluate the importance of charging lower prices to allow *Cineworld* to return to profit. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

These factors led to *Cineworld* making a £537 million loss in 2022, leaving the company close to failure. The *Cineworld* share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments.



(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

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3

Indicative content: Selling assets involves selling cinemas for cash to allow Cineworld to cover its loan repayments on £2.3bn of debt (AO2). Cineworld is a public limited company so it could sell large numbers of new shares to raise cash to cover its loan repayments on its cinemas (AO2). This should raise cash, especially if the cinemas are in popular locations such as city centres where other cinema or leisure groups may be interested in purchasing these assets for large sums of cash (AO3a). This may work since existing shareholders have seen the Cineworld share price fall considerably and if no new shares are purchased it is likely that the company will fail. Therefore, they may be willing to purchase additional shares to protect their original investment, giving Cineworld enough cash to survive until there is an increase in cinema demand (AO3a). However, cinemas are normally large buildings that may have limited alternative uses and with fewer people visiting cinemas since the global pandemic, it may well be that not enough cash is generated to cover the loan repayment Cineworld must make. Therefore, selling assets may not provide sufficient cash, since it is dependent on the market value of the properties (AO3b). However, Cineworld will have to issue a large number of new shares which will significantly reduce the percentage ownership of the existing shareholders. Some existing or new shareholders may be unwilling to purchase the new shares due to the financial position of the company. Therefore, the success of this option depends on how confident investors are about the future of the company (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application, clear justification based on thorough evaluation.

2.1.3 Business and globalisation (9 questions)

Specimen SAMs · Paper 2 · Q7(c) · §C

Outline

2 marks

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 58, 65, 66 (SPECIMEN SAMS PAPER 2)

SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** impact on Fender of using 3D printers to print out ideas for new guitar models.

(2)

- (b) Analyse the impact on Fender of charging high prices for its musical instruments.

(6)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

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- (e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

Award up to 2 marks for linked points outlining an advantage to Amazon of being an e-tailer. Award a maximum of 1 mark if points are not linked. e-tailing means that Amazon can reach a global market (1), therefore increasing its chances of being able to sell a large range of household goods (1). Without any high-street stores Amazon will have lower fixed costs (1), therefore Amazon can undercut Argos' prices (1). Do not accept reasons that would relate to Amazon but not because it is an e-tailer, for example its brand name.

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2019 PAPER 2)

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3 (a) Which **one** of the following is a barrier to international trade?

Select **one** answer.

(1)

- ☐ A Aesthetics
- ☐ B Ethics
- ☐ C Tariffs
- ☐ D Trade-offs

Figure 1 shows the sales revenue of a business over three years.

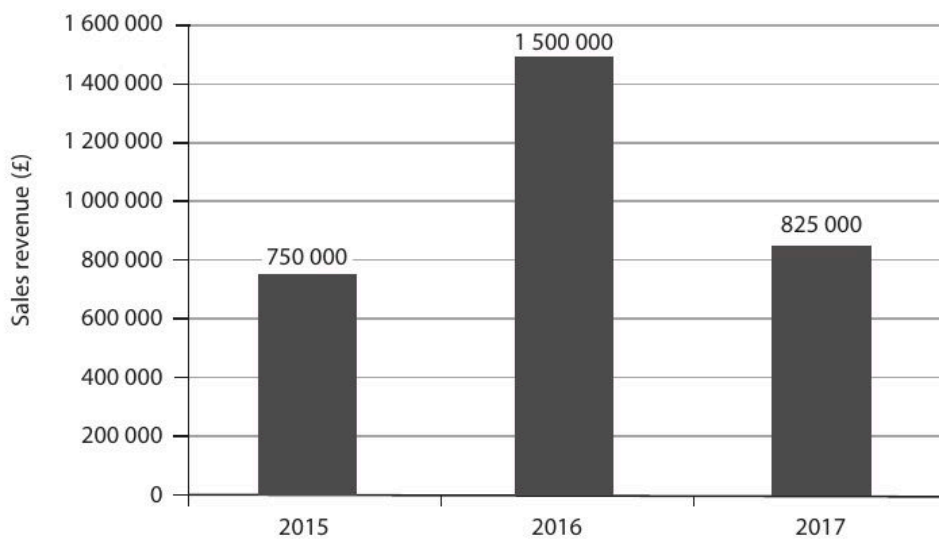


Figure 1

(b) Using the information in Figure 1, calculate the percentage increase in sales revenue from 2015 to 2016. You are advised to show your workings.

(2)

..... %



7

Turn over ►

(c) Explain **one** method a business could use to differentiate its product.

(3)

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(d) Explain **one** possible barrier to effective communication within a business.

(3)

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(e) Discuss the impact on a business of giving employees permanent contracts.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Look at this sub-question (Q3(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 2)

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- 3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ **A** Product knowledge
- ☐ **B** Product quality
- ☐ **C** Production
- ☐ **D** Productivity

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products.

Sales revenue for products X, Y and Z in 2018

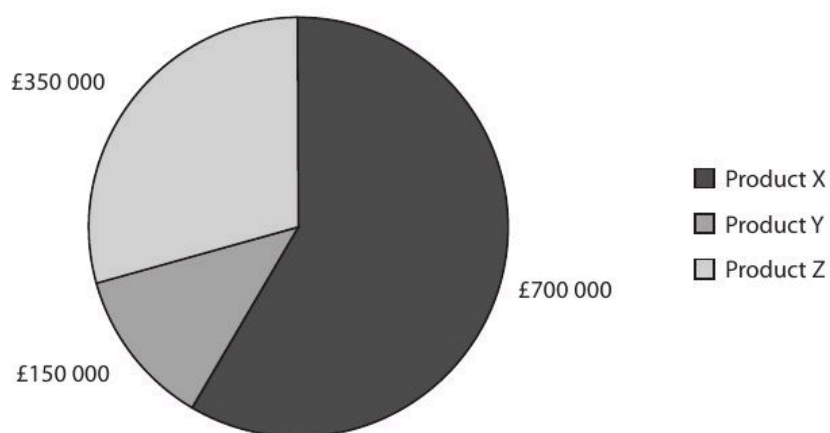


Figure 1

- (b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

(2)

.....%



7

Turn over ►

(c) Explain **one** drawback to a business from differentiating its product.

(3)

(d) Explain **one** impact on a business from increased globalisation.

(3)

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(e) Discuss the impact on a business of becoming a public limited company (plc).

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. The opportunity to sell to more markets increases (1). Therefore, the business has the ability to generate global brand awareness (1). Thus, the business could make higher levels of revenue (1). The business may face higher levels of competition (1). This could cause the price of products to fall (1). Therefore, the business may have to reduce average total costs to maintain competitiveness (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q5(c), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 13, 14 (NOV 2021 PAPER 2)

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- 5 Table 2 contains information about the price of a *Tesla* Model 3 car between 2017 and 2019.

Year	Price (in US\$)
2017	50 000
2018	41 000
2019	35 000

Table 2

- (a) Using the information in Table 2, calculate the percentage reduction in the price of a *Tesla* Model 3 car between 2017 and 2019.

(2)

..... %

- (b) Using the information in Table 2, calculate the average price of a *Tesla* Model 3 car over the three year period between 2017 and 2019.

(2)

£



P 6 6 4 7 9 A 0 1 3 2 4

(c) Analyse the impact on *Tesla* of increasing levels of globalisation.

(6)

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(Total for Question 5 = 10 marks)

14



Indicative content: As global incomes increase more people should be able to afford a \$35 000 Model 3 (AO2). Tesla may face more competition from rival electric car manufacturers such as VW and Renault in the US and Chinese markets (AO2). Therefore, demand for electric cars should rise. As a result, it may be able to sell the extra cars that will be manufactured in its Chinese factory, allowing it to increase revenues and reduce its losses (AO3a). This may mean Tesla has to lower its prices below \$35 000 to compete. Therefore, profit margins on each car may fall and the company may struggle to reduce its losses (AO3a). Level 1 (1-2): Limited application; limited connections. Level 2 (3-4): Sound application; chains of reasoning. Level 3 (5-6): Detailed application; logical chains of reasoning.

Look at this sub-question (Q6(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (NOV 2021 PAPER 2)

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6 (a) State **one** impact to *Tesla* of continuing to make a loss.

(1)

(b) Outline **one** drawback to *Tesla* of a government introducing tariffs on imports from the US.

(2)



15

Turn over ►

In order to raise the finance for its new Chinese factory, *Tesla* is considering two options:

Option 1: share capital

Option 2: loan capital.

(c) Justify which **one** of these two options *Tesla* should choose.

(9)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 6 6 4 7 9 A 0 1 7 2 4

17

Turn over ►

Award up to 2 marks for linked points outlining an impact to Tesla of a government introducing tariffs on imports from the US. Award a maximum of 1 mark if points are not linked.

The Model 3 will now be much more expensive in countries such as China (1). Therefore, sales of Tesla's cars will fall (1).

Tesla will have to lower the price of its cars below \$35 000 in dollars (1). This is because the tariff will increase the price above its target price (1).

Do not accept impacts that would not be appropriate for Tesla.

Look at this sub-question (Q2(e), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 5, 6, 7 (JUNE 2022 PAPER 2)

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2 (a) Which **two** of the following are stages of the product life cycle?

(2)

Select **two** answers.

- ☐ A Birth
- ☐ B Cancellation
- ☐ C Decline
- ☐ D Growth
- ☐ E Marketing

(b) Which **two** of the following are elements of the design mix?

(2)

Select **two** answers.

- ☐ A Cost
- ☐ B Function
- ☐ C Materials
- ☐ D Price
- ☐ E Quality



P 6 5 5 6 3 A 0 5 2 8

5

Turn over ►

Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£200 000
Cost of new machine	£200 000

Table 1

(c) Using the information in Table 1, calculate the average rate of return.

(2)

.....%

(d) Explain **one** advantage to a business of having motivated employees.

(3)

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P 6 5 5 6 3 A 0 7 2 8

7

Turn over ►

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. This may make the product more expensive in the foreign market (1). Therefore, demand for the product abroad could decrease (1). Therefore, the business may experience falling sales revenue (1). The business may have to reduce prices to reduce the effects of the tariff (1). Therefore, the contribution made per product may decrease (1). This will increase the break even point of the business (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 19, 20, 21, 22, 23, 24, 25 (JUNE 2022 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*.

Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from <https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/> and <https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores>)



(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

7 (a) Define the term **multinational**.

(1)

Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020.

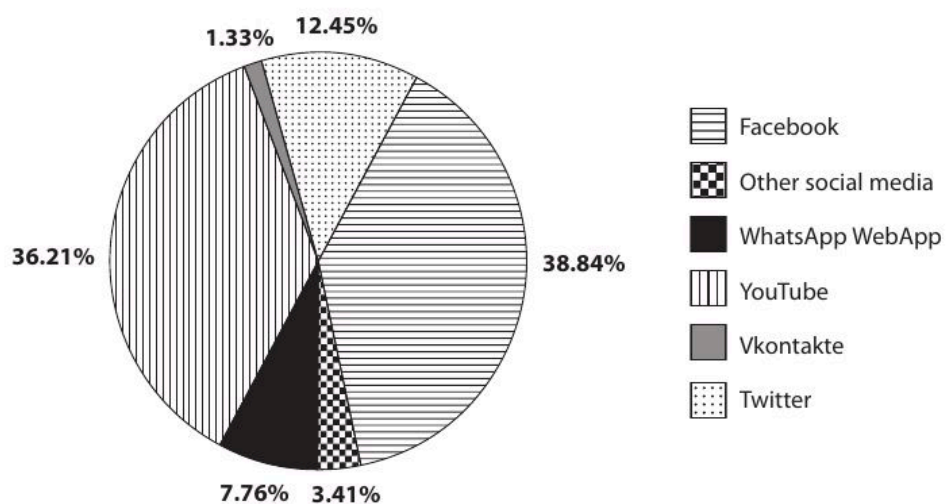


Figure 5

(Source: adapted from <https://www.similarweb.com/website/jdsports.co.uk#social>)

(b) Using the information in Figure 5, identify the social media site that generated the smallest percentage of customers for www.jdsports.co.uk.

(1)





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(c) Outline **one** benefit to *JD Sports* of having a website.

(2)



21

Turn over ►



In order to improve its competitive advantage *JD Sports* is considering two options:

Option 1: targeted online advertising

Option 2: sponsorship.

(d) Justify which **one** of these two options *JD Sports* should choose.

(9)

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(e) Evaluate whether the takeover of Footasylum will allow *JD Sports* to increase its profit. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS

25



P 6 5 5 6 3 A 0 2 5 2 8

Award 1 mark for a correct definition of multinational. These are businesses that produce goods and services in more than one country (1).

Look at this sub-question (Q3(e), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2023 PAPER 2)

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3 (a) Which **one** of the following is a fringe benefit?

(1)

Select **one** answer.

- ☐ A Company car
☐ B Job enrichment
☐ C Salary
☐ D Wages

Figure 2 shows a bar gate stock graph which shows the deliveries of raw materials to a business in June 2021. These deliveries are labelled A, B and C.

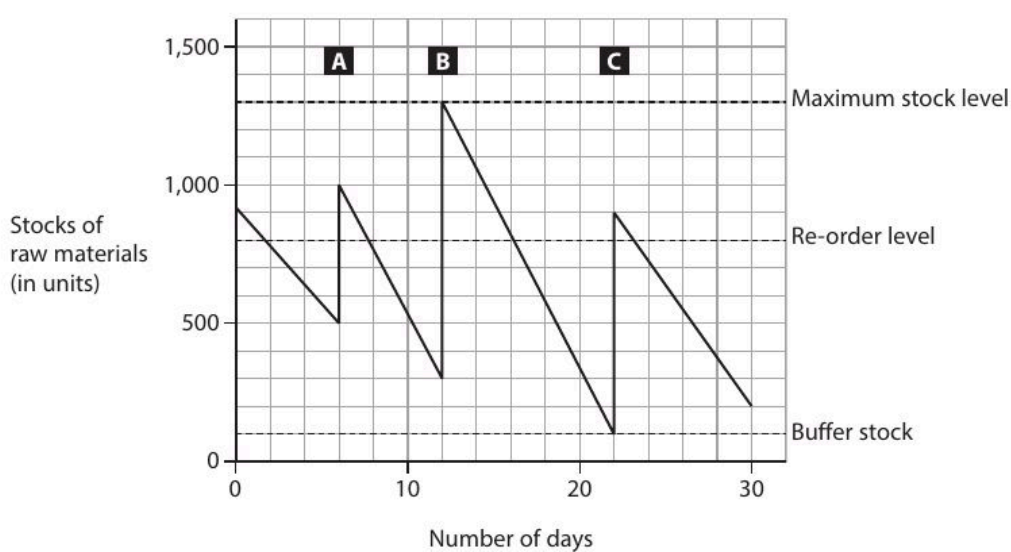


Figure 2

(b) Using the information in Figure 2, calculate the total amount of stock that was delivered to the business in June 2021. You are advised to show your workings.

(2)

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7

Turn over ►

(c) Explain **one** disadvantage to a business of having a poor relationship with its suppliers.

(3)

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(d) Explain **one** impact on a business of introducing job rotation.

(3)

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(e) Discuss the impact on a business from new tariffs being introduced by countries it exports to.

(6)

(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

9

Turn over ►

Indicative content: Exported products will now become more expensive in the foreign market (AO1b). The business may try and find a way to reduce the cost of making each unit (AO1b). Therefore, demand for the exported product in the foreign market could fall. As a result, revenue generated by the business from its foreign, export market may fall (AO3a). This is because it may allow the business to reduce its prices. As a result, the tariff will have a minimal effect on the business (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2024 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an element of the design mix?

(1)

Select **one** answer.

- ☐ A Aesthetics
- ☐ B Extension
- ☐ C Packaging
- ☐ D Production

- (b) Which **one** of the following is the best definition of a trade bloc?

(1)

Select **one** answer.

- ☐ A A group of countries that trade freely between themselves
- ☐ B A problem involving suppliers not delivering raw materials
- ☐ C A tariff on exported goods and services
- ☐ D A tariff on imported goods and services

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(c) Explain **one** reason why a business may increase its product range.

(3)

(d) Explain **one** advantage to a business of using just in time (JIT) stock control.

(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



The only correct answer is A - A group of countries that trade freely between themselves. B is not correct because it is unrelated to a trade bloc. C is not correct because a trade bloc is not a tariff. D is not correct because a trade bloc is not a tariff.

2.1.4 Ethics, the environment and business (7 questions)

June 2019 · Paper 2 · Q2(e) · \$A

Explain

3 marks

Look at this sub-question (Q2(e), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (JUNE 2019 PAPER 2)

- 2 (a) Which **two** of the following are likely to be sent to a business by a person applying for a job?

Select **two** answers.

(2)

- ☐ A Application form
- ☐ B CV
- ☐ C Job advert
- ☐ D Job description
- ☐ E Person specification

- (b) Which **two** of the following are likely to increase the productivity of a business?

Select **two** answers.

(2)

- ☐ A Excessive communication
- ☐ B Pressure groups
- ☐ C Retraining employees
- ☐ D Increased product range
- ☐ E Introducing new technology

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Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£100 000
Cost of new machine	£400 000

Table 1

(c) Using the information in Table 1, calculate the average rate of return. You are advised to show your workings.

(2)

..... %

(d) Explain **one** benefit to a business of having a good relationship with its suppliers.

(3)



5

Turn over ►

(e) Explain **one** advantage to a business of improving its environmental sustainability.

(3)

(Total for Question 2 = 12 marks)

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Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. This may make the business appear more ethical (1). This may reduce pressure group activity (1). Therefore, the brand image of the business may improve (1). It is now less likely that the business will have to pay fines to the government for polluting the environment (1). As a result, the costs of the business may go down (1). This may make the business more competitive (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (JUNE 2019 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

In August 2017, UK supermarket group *Sainsbury's* decided to cut its costs by £500 million to remain competitive.

One of the changes *Sainsbury's* made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, *Sainsbury's* can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers.



© Fairtrade Foundation 2017

Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London.



© andrew aitchison

Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. *Sainsbury's* wants to retrain shop floor employees to improve the customer service in its stores.

(Source: adapted from <https://www.theguardian.com/business/2017/jul/09/sainsburys-finds-itself-in-hot-water-over-fairtrade-tea>)

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7 (a) Give **one** stage of the sales process.

(1)

Figure 2 shows the market share of UK supermarkets in 2017.

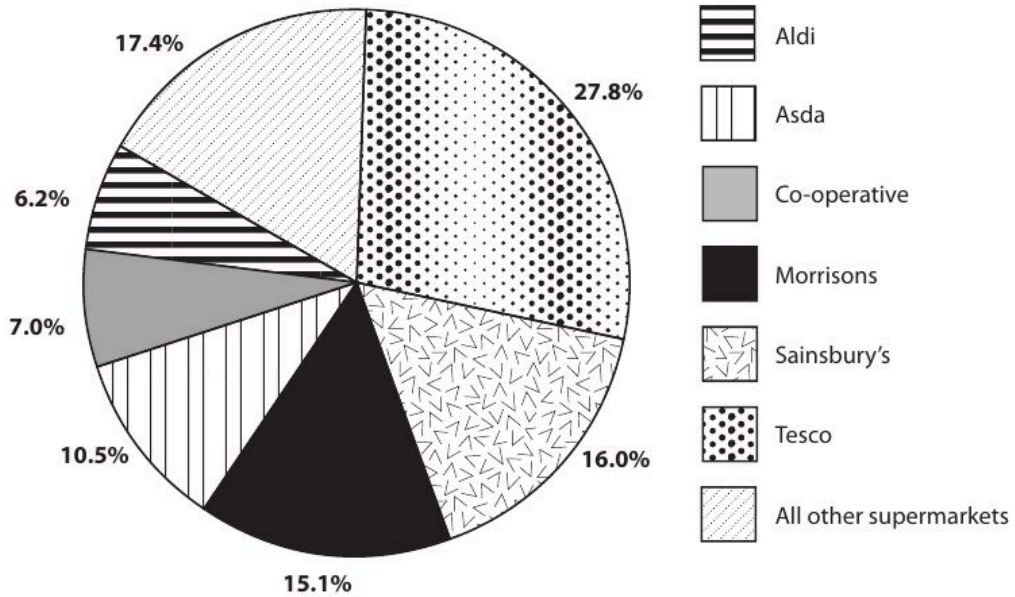


Figure 2

(Source: <https://www.kantarworldpanel.com/en/grocery-market-share/great-britain>)

(b) Using the information in Figure 2, identify the UK supermarket with a larger market share than *Sainsbury's*.

(1)



(c) Outline **one** advantage to *Sainsbury's* of improving its customer service.

(2)

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In order to improve the motivation of its shop floor employees, *Sainsbury's* is considering two options:

Option 1: retraining

Option 2: increase wages.

(d) Justify which **one** of these two options *Sainsbury's* should choose.

(9)

Handwriting practice lines for the answer to question (d).



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- (e) Evaluate the likely impact on *Sainsbury's* of replacing Fairtrade with its own Fairly Traded scheme. You should use the information provided as well as your knowledge of business.

(12)

Handwriting practice area with 20 horizontal dotted lines.



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS

TOTAL FOR PAPER = 90 MARKS



Indicative content: The Fairtrade scheme may allow the revenue from Sainsbury's own-branded products to increase (AO1b). Abandoning the Fairtrade scheme and replacing it with its own 'Fairly Traded' scheme could cut costs (AO1b). This is because ethically-minded consumers may appreciate that Sainsbury's are willing to pay extra to purchase ethically sourced crops and they are willing to pay a premium for their tea and coffee and other groceries to support this cause (AO2). This is because Sainsbury's no longer have to pay higher prices for Fairtrade products such as tea and bananas (AO2). Therefore, abandoning the Fairtrade scheme may give Sainsbury's the ability to cut prices in the very competitive UK grocery market. As a result, it is more likely to be able to compete on price against other supermarkets such as Aldi and Tesco. This may allow Sainsbury's to increase its market share and profit (AO3a). Therefore, Sainsbury's may be able to operate a cheaper ethical scheme which they control and set the rules for, whilst still retaining a premium price for its own label groceries. This may allow larger profit margins on each grocery item sold (AO3a). However, this depends on how consumers react to the abandonment of the Fairtrade scheme and the extent to which 'Fairly Traded' is seen as a viable replacement. Sainsbury's ethically-minded customers may decide to switch supermarkets causing revenues to fall by more than the reduction in costs. Therefore, profits may decrease rather than increase (AO3b). However, this depends on the degree to which ethically-minded customers notice the change in the scheme and the degree to which it is publicised by the media. The fact that protests are taking place in London suggest this change may damage Sainsbury's brand image causing a fall in market share (AO3b).

Level 1 (1-4 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b).

Level 2 (5-8 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b).

Level 3 (9-12 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2020 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

Iceland believes this success has been due to improved marketing. It has introduced new products using the *Slimming World* and *Millie's Cookies* brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal *Iceland* store which allows them to stock more luxury products. *Iceland* hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores.



© Dom J/Shutterstock

In 2018, *Iceland* received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper,



as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed *Iceland's* decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that *Iceland's* decision will be repeated by other supermarkets in the UK.

Figure 3: *Iceland's* new packaging

(Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

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- 7 (a) Define the term **pressure group**.

(1)

Figure 4 shows information about the change in *Iceland's* sales revenue between 2013 and 2017.

Percentage change in sales revenue 2013 to 2017

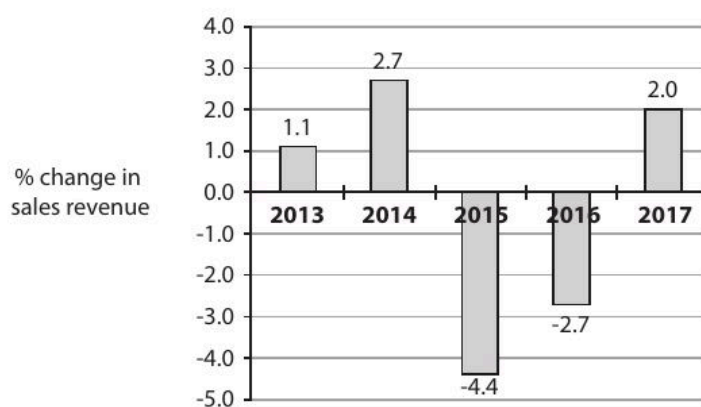


Figure 4

(Source: <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

- (b) Using the information in Figure 4, identify the year with the smallest percentage change in *Iceland's* sales revenue.

(1)



P 6 1 6 4 7 A 0 1 9 2 4

(c) Outline **one** factor that could influence *Iceland's* choice of pricing strategy for its range of new products.

(2)

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In order to recruit employees for its new 'The Food Warehouse' stores, *Iceland* is considering two options:

Option 1: offer permanent contracts

Option 2: offer temporary contracts.

(d) Justify which **one** of these two options *Iceland* should choose.

(9)

Handwriting practice lines for the answer.



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



Award 1 mark for a correct definition of pressure group. An organisation that aims to make a government or business change its decision making (1).

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2020 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

Iceland believes this success has been due to improved marketing. It has introduced new products using the *Slimming World* and *Millie's Cookies* brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal *Iceland* store which allows them to stock more luxury products. *Iceland* hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores.



© Dom J/Shutterstock

In 2018, *Iceland* received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper,



as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed *Iceland's* decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that *Iceland's* decision will be repeated by other supermarkets in the UK.

Figure 3: *Iceland's* new packaging

(Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

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7 (a) Define the term **pressure group**.

(1)

Figure 4 shows information about the change in *Iceland's* sales revenue between 2013 and 2017.

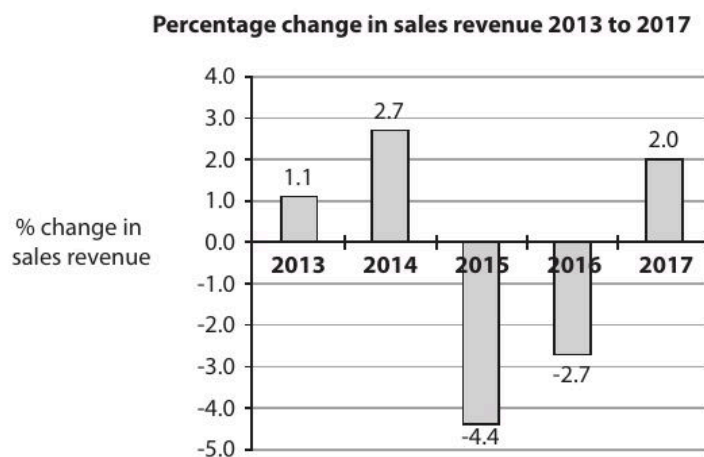


Figure 4

(Source: <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

(b) Using the information in Figure 4, identify the year with the smallest percentage change in *Iceland's* sales revenue.

(1)



P 6 1 6 4 7 A 0 1 9 2 4

(c) Outline **one** factor that could influence *Iceland's* choice of pricing strategy for its range of new products.

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In order to recruit employees for its new 'The Food Warehouse' stores, *Iceland* is considering two options:

Option 1: offer permanent contracts

Option 2: offer temporary contracts.

(d) Justify which **one** of these two options *Iceland* should choose.

(9)

Handwriting practice lines for the answer.



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- (e) Evaluate whether *Iceland* is likely to benefit from its decision to ban all plastic packaging on its own-brand products. You should use the information provided as well as your knowledge of business.

(12)



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



Indicative content: Banning plastic packaging on its own-brand products may result in Iceland having a unique selling point (USP) (AO1b). Changing the packaging may increase the variable costs of Iceland's own-brand products (AO1b). This is because Iceland's ready meals will now stand out to ethically minded food shoppers compared to rival supermarkets such as Asda or Tesco (AO2). This is because special paper-based packaging may have to be developed that will be much more expensive than the plastic packaging used to package wet products such as ice cream and fish (AO2). Therefore, Iceland may be able to attract more shoppers to its stores because it has successfully differentiated its products. This may lead to an increase in market share, which could lead to increased sales revenue and profit (AO3a). As a result, Iceland's average total cost of its own-brand products may increase. This may force it to increase prices in order to maintain its profit margins. This could cause Iceland to lose competitiveness compared to Tesco and Aldi in the own-brand product market (AO3a). However, Iceland is only making this change on its own-brand products and it will not happen until 2023. Therefore, the extent to which Iceland will be seen as an ethical store will be limited and by 2023 the other supermarkets may also have decided to make a similar change. This may remove any source of competitive advantage Iceland may gain from this change (AO3b). However, changing the packaging may only increase packaging costs marginally and Iceland may gain improved brand recognition. This may allow Iceland to become more attractive to high-income consumers. Therefore, the repackaging of its own-brand products could add value and allow a premium price to be charged. As a result, profit margins on its own-brand products could actually increase rather than fall (AO3b).

Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b).

Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b).

Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Look at this sub-question (Q1(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2021 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 Figure 1 shows the organisational structure of a business.

(a) Which **one** of the following organisational structures is shown in Figure 1?

(1)



Figure 1

Select **one** answer.

- ☐ A Decentralised
- ☐ B Flat
- ☐ C Hierarchical
- ☐ D Remote

(b) Which **one** of the following documents states the qualities an employer is looking for in a new employee?

(1)

Select **one** answer.

- ☐ A Application form
- ☐ B CV
- ☐ C Job description
- ☐ D Person specification

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(c) Explain **one** impact that a pressure group can have on a business.

(3)

(d) Explain **one** disadvantage to a business of having poor customer service.

(3)

(Total for Question 1 = 8 marks)



P 6 6 4 7 9 A 0 3 2 4

3

Turn over ►



Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks.

Pressure groups may damage the brand image of the business (1). Therefore, potential customers may switch to ethical brands (1). As a result, the sales of the business may fall (1).

Pressure groups may cause the government to introduce new legislation (1). As a result, the activities of the business may be restricted (1). Thus, the business may not make as much profit (1).

Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q3(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 8, 9, 10 (JUNE 2022 PAPER 2)

3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ A Advertising
- ☐ B Customer engagement
- ☐ C Product quality
- ☐ D Use of different payment systems

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020.

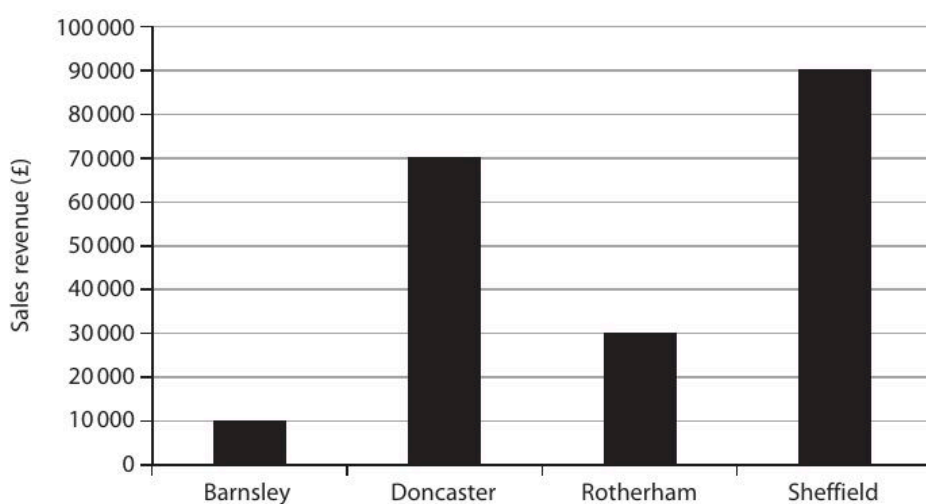


Figure 2

(b) Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

(2)

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(c) Explain **one** method that a business could use to reduce its environmental impact.

(3)

(d) Explain **one** method that a business could use to extend the life cycle of one of its products.

(3)



9

Turn over ►

(e) Discuss the impact on a company of using retained profit as a source of finance for expansion.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

10



P 6 5 5 6 3 A 0 1 0 2 8



Award 1 mark for identification of a method, plus 2 further marks for explaining this method, up to a total of 3 marks. It could reduce the amount of packaging used (1). Therefore, less resources such as plastic are used (1). As a result, preserving non-renewable resources such as oil (1). It could make greater use of renewable energy (1). Therefore, fewer fossil fuels are burnt to create electricity (1). This could therefore reduce global warming (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q3(e), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2024 PAPER 2)

- 3 (a) Which **one** of the following elements of the marketing mix relates to the distribution of a product to the consumer?

(1)

Select **one** answer.

- ☐ A Place
☐ B Price
☐ C Product
☐ D Promotion

Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

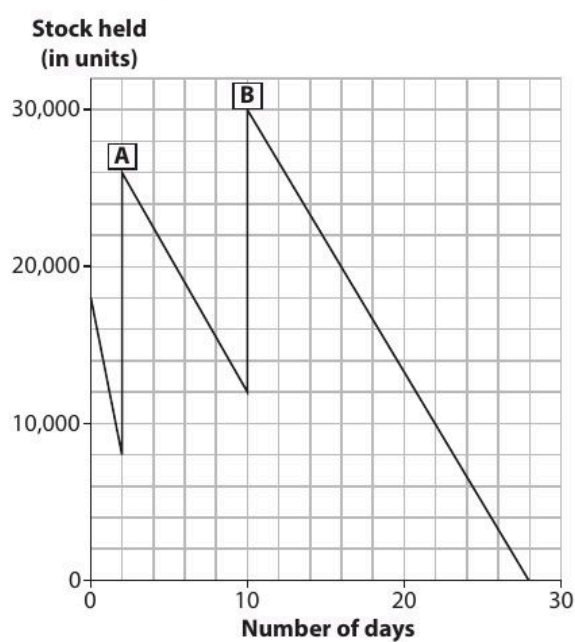


Figure 1

- (b) Using the information in Figure 1, calculate how many days it took for the business to run out of stock after receiving its last delivery in June 2023.

(2)

..... days



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(c) Explain **one** reason why a business may use sponsorship to promote a product.

(3)

(d) Explain **one** disadvantage to a business of using remote working.

(3)



P 7 5 5 2 6 A 0 7 2 4

7

Turn over ►

(e) Discuss the benefit to a business from reducing its environmental impact.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Indicative content: It may reduce pressure group activity (AO1b). It may add value to the business since the business can now charge a higher price for its products (AO1b). Therefore, the business will avoid negative media coverage. This may enhance the brand of the business (AO3a). As a result, net profit margins may rise if the extra price charged exceed the additional costs of improving their environmental responsibility (AO3a).

Level 1 (1-2): Demonstrates elements of knowledge with limited business terminology. Level 2 (3-4):

Demonstrates mostly accurate knowledge with appropriate terminology in places. Level 3 (5-6): Demonstrates accurate knowledge throughout with detailed interconnected points and logical chains of reasoning.